



INDIAN ECONOMY (1950–1990)

Title: Indian Economy 1950–1990 Basic Learning

BY THUNDERSTUDY 🧠💡



1. What Happened After Independence (1947)?

India became free, but was weak. India chose a **Mixed Economy** (Teamwork between Government and Private sectors).



2. Planning and Goals

Five-Year Plans: A 5-year timetable to improve the country. The 4 main goals (GMSE):



1. Growth: Produce more (Bigger GDP cake).



2. Modernisation: New technology (HYV seeds) and modern thinking.



3. Self-Reliance: Depend on ourselves, not foreign countries.



4. Equity: Reduce inequality. Basic needs for everyone.



3. Agriculture (Farming)

Land Reforms: Zamindari system removed; Land given to actual farmers with "Land Ceilings" (limits on ownership).

Green Revolution (1960s): Using HYV seeds, fertilizers, and irrigation. India became self-sufficient in food!



4. Industry Development

Public Sector: Government took "Commanding Heights" (Steel, Power, etc.).

IPR 1956: Industries divided into 3 schedules.

License Raj: You needed government permission to start or expand factories. (Goal: Equality; Problem: Paperwork).

Small Scale Industries (SSI): Supported because they create more jobs and help rural areas.



5. Trade Policy (Import Substitution)

Inward Looking Strategy: Make things in India rather than buying from abroad.

 **Tariffs:** Tax on imports.

 **Quotas:** Quantity limit on imports.

Reason: Protect Indian industries from foreign giants.



6. Problems by 1990

License Raj slowed things down. Public sector was making losses. Competition was low. This led to the **1991 Economic Reforms**.



Ultra-Easy Memory Trick

G M S E → A I T → 1991

Growth, Modernisation, Self-reliance, Equity
→ Agriculture, Industry, Trade → 1991 Changes

Score 100/100 With Thunderstudy